NCERT Summary: Topic 12: Sectors of the Indian Economy — Raw Notes

Source Integration

- NCERT Class 10 Social Science: Understanding Economic Development, Chapter 2: Sectors of the Indian Economy

Core Factual & Conceptual Architecture

1. Classification by Nature of Economic Activity

- Primary Sector: Exploits natural resources directly to yield raw natural goods (agriculture, dairy, fishing, forestry, mineral extraction). Also called the agriculture and related sector because it underpins the entire economic structure.
- Secondary Sector: Transforms primary natural produce into manufactured goods through industrial processes (such as spinning cotton fibre into cloth, refining sugarcane into sugar or gur, and baking clay earth into bricks). Also known as the industrial sector.
- Tertiary Sector: Generates supportive services rather than tangible goods, facilitating distribution, production logistics, and trade (transportation, warehousing, communication, banking, retail trade). Encompasses public administrative services (teachers, doctors) and modern information technology infrastructure (software hubs, call centres, automated teller machines).
- Sectoral Interdependence: Economic sectors operate as mutually reliant networks; for instance, sugar mills depend on raw cane farming, agricultural productivity depends on manufactured machinery and chemical fertilisers, and transportation strikes paralyze both farmers and urban retail markets.

2. Measuring Output and the Indian Structural Anomaly

- GDP Metric: Measured by aggregating the market value of all final goods and services produced across all three sectors within a single year. Intermediate inputs are strictly excluded to avoid double counting.
- Global Historical Development Path: Advanced economies historically transitioned from primary sector dominance in output and jobs, to industrial manufacturing dominance, and finally to tertiary sector supremacy in both GDP output and total employment.
- The Indian Structural Mismatch:
  - Output Trajectory: Between 1973 and 2003, the service sector surpassed agriculture to become the dominant contributor to Indian GDP, matching the global production shift.
  - Employment Trajectory: A corresponding migration of the labor force failed to occur. Industrial output expanded eight-fold while industrial jobs grew only 2.5 times; service output expanded eleven-fold while service jobs rose less than three times.
  - Central Diagnostic Reality: Over half the national workforce remains anchored in agriculture, generating roughly a quarter of GDP, whereas the secondary and tertiary sectors account for three-fourths of output with less than half the workforce.
- Drivers of Service Growth: State provisioning of essential services (healthcare, basic education, defense, postal networks), infrastructure demand generated by industrial and farm growth, rising income driving discretionary services, and digital IT service expansion.
- Internal Disparity: The tertiary sector is split between a small, highly skilled, well-compensated digital tier and a massive, poorly paid, unorganized tier of last-resort casual workers (street vendors, repair hands).

3. Underemployment & Employment Generation

- Disguised Unemployment (Underemployment): A condition where individuals appear actively engaged in work, yet their marginal labor productivity is zero. Removing redundant workers causes no reduction in aggregate output.

    - Rural Expression: Entire smallholding peasant families work small unirrigated plots because alternative economic avenues are absent.
    - Urban Expression: Casual daily-wage workers (plumbers, painters, street hawkers) spending long hours on intermittent, low-remuneration odd jobs.
- Pathways for Rural Employment Expansion:
    - Constructing irrigation dams and canals to permit second-crop cultivation.
    - Expanding low-cost formal credit to release farmers from informal moneylenders.
    - Constructing cold storage units, rural link roads, and agro-processing facilities (pulse mills, honey extraction centers).
    - Expanding social infrastructure; the Planning Commission estimated that 20 lakh jobs could be added in education alone.
    - Realizing tourism potential, with estimates suggesting 35 lakh jobs could be generated.
- Statutory Safety Net: National Rural Employment Guarantee Act, 2005 (NREGA 2005 / Right to Work), guaranteeing 100 days of wage employment per financial year to rural households willing to perform unskilled manual labor, with a legal entitlement to an unemployment allowance if work is not provided within 15 days.

4. Classification by Employment Conditions: Organised vs. Unorganised

- Organised Sector: Registered entities complying with statutory legislation (Factories Act, Minimum Wages Act, Payment of Gratuity Act, Shops and Establishments Act). Provides secure employment, standard work hours, overtime compensation, paid medical leave, provident fund contributions, and pensions.
- Unorganised Sector: Small, scattered units operating outside state regulatory enforcement. Characterized by arbitrary dismissals, uncompensated extra hours, lack of paid holidays or sick leave, and zero social security.
- Composition and Vulnerabilities:
    - Rural Unorganised: Landless laborers, small and marginal farmers (comprising roughly 80 percent of rural households), sharecroppers, and traditional artisans.
    - Urban Unorganised: Casual construction labor, garment piece-rate workers, head-load carriers, street vendors, and rag-pickers.
    - Social Intersection: A disproportionate share of unorganized workers belong to Scheduled Castes, Scheduled Tribes, and backward communities, turning informal economic vulnerability into a wider social justice challenge.

5. Classification by Ownership: Public vs. Private Sectors

- Public Sector: The state owns capital assets and provides public services, financed through tax revenues to maximize collective social welfare rather than corporate profit (e.g., Indian Railways, Department of Posts).
- Private Sector: Private individuals and corporate entities hold asset ownership and direct service delivery, driven primarily by profit maximization (e.g., Tata Iron and Steel Company, Reliance Industries).
- Economic Imperatives for State Ownership:
    - Huge capital outlays for foundational infrastructure that private markets cannot viably finance (railways, bridges, power grids, irrigation works).
    - Administered cost-support mechanisms, such as subsidizing industrial electricity or purchasing foodgrains at fair prices to sell through fair price ration shops.
    - Basic human welfare duties, including universal primary healthcare, literacy promotion, addressing widespread child malnutrition, and funding balanced regional growth in neglected provinces.

✍ Notes & Updates